البنك المركزي المصري
CENTRAL BANK OF EGYPT



Rules Regulating Services For

Instant Payment Network

Inside the Arab Republic of Egypt

(IPN)

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البنك المركزي المصري

CENTRAL BANK OF EGYPT

Contents:

Introduction	**4**
General Definitions	**6**
1- Scope of Rules	**8**
2- Risk management of Instant Payment Network services	**9**
2-1- Risks associated with the services of implementing instant banking transactions via electronic channels	**9**
2-2- Responsibilities and obligations of the board of directors and senior management	**11**
2-3- Anti-Money Laundering and Terrorist Financing Controls	**16**
3- General rules regulating banks participating in the Instant Payment Network	**18**
3-1- Issuer Bank obligations towards electronic payment tools	**18**
3-2- Obligations of PSP Bank towards Instant Payment Network	**19**
3-3- Obligations of the Acquirer Bank through Instant Payment Network	**20**
3-4- Services available from Instant Payment Network	**20**
4- General Controls	**22**
5- Responsibilities of the Egyptian Banks Company	**25**
6- Settlements	**25**
7- Supervisory controls of Instant Payment Network services	**26**
7-1- Information Confidentiality and Integrity	**26**
7-2- Infrastructure and Security Monitoring of the System	**27**
7-3- Evaluation of Service Security System	**29**
7-4- Response to and Management of Events	**30**
7-5- Performance Considerations and Business Continuity Assurance	**31**
8- Customer Security and Controls for certain other Risks	**31**
9- Procedures to Obtain Licenses	**36**

Introduction

As part of the Central Bank of Egypt's plan to achieve financial inclusion and provide banking services to all society members, and in light of the plan developed by the Central Bank's digital transformation and the need to increase the number of electronic transactions and provision of various means of payment and collection to meet the needs of customers, these rules aim to develop a framework for banks and mobile phone application service providers regarding the Instant Payment Network to allow customers and banks to carry out instant transfers through electronic payment tools and provide all segments of society with appropriate banking services.



General Definitions

The following words and terms shall have their respective meaning shown below wherever mentioned in these rules:

Instant Payment	Completion of deduction from the accounts of the sending customer and adding the deducted amounts to the accounts of the beneficiary customer instantly.
Electronic Payment Tools	Electronic banking tools made available by the issuer banks for use via Instant Payment Network.
Instant Payment Network (IPN)	The network for Interoperability among different banks, which allows the completion of instant transfers and many other additional services referred to as rules for banks and customers, twenty-four hours a day, seven days a week.
Issuer Bank	The bank responsible for managing customers› accounts and approving their financial transactions through electronic payment tools issued through it, in accordance with the approved work procedures of the Instant Payment Network.
PSP Bank	The bank responsible for contracting with and operating payment service providers and making their services available to Instant Payment Network customers in addition to activating its electronic distribution channels, which include without limitation internet banking and mobile banking.
Acquirer Bank	The bank responsible for contracting with and operating companies/merchants through the Instant Payment Network. Acquirer Bank shall enable companies/merchants to accept payments from Instant Payment Network customers through payment acceptance methods approved by the network.

Instant Payment Network Service Provider	A company licensed to work with the bank as a Payment Service Provider to provide payment services via its mobile applications in accordance with the rules of the Instant Payment Network to its individual and merchant customers after obtaining the approval of the Central Bank of Egypt.
Technology Service Provider	A company providing various technological services on behalf of the bank with regard to Instant Payment Network services and after obtaining the approval of the Central Bank of Egypt.
Secure library «SL»	It is a secure application associated with the Instant Payment Network and responsible for encrypting sensitive customers data.
Instant Payment Address «IPA»	An address created by the customer for each bank account and is identified on the Instant Payment Network by the provider of payment services to enable customers to receive financial transactions based on the instant payment address.
Negative Lists	Lists of terrorist entities and terrorists identified as per Law No. 8 of 2015 and its amendments, as well as lists issued by the United Nations Security Council in relation to terrorism, financing of terrorism, financing of proliferation of weapons of mass destruction, and any other lists developed or deemed necessary by the bank.

1- Scope of Rules

1-1 **These rules apply to all banks operating in the Arab Republic of Egypt. These rules and controls are the minimum necessary for banks and payment service providers authorized by the Central Bank of Egypt to provide various services through the Instant Payment Network. All banks should not be content with such limit and must make sure that all necessary measures are taken to manage risks associated with providing this type of service.**

1-2 **These rules include some general controls and control objectives that must be complied with for the provision of Instant Payment Network services**

1-3 **These rules shall be enforced regarding the provision of Instant Payment Network services without tampering with the supervisory controls for electronic banking transactions previously issued by the Central Bank of Egypt, as well as the instructions and rules for the implementation of banking transactions and controls for combating money laundering and terrorist financing issued by the Central Bank of Egypt, and due diligence procedures for bank customers issued by Anti-Money Laundering and Terrorist Financing Unit.**

2. Risk Management of Instant Payment Network Services

2-1 Risks associated with the services related to conducting instant banking transactions via electronic channel

Provision of services for implementing instant banking transactions via electronic channels is associated with many risks. While these risks are not considered new to banks, the features of instant payment services may increase the degrees of risks and create new challenges to manage these risks. All parties involved in providing such services must establish the necessary frameworks and controls to manage and limit these risks. These risks include the following without limitation:

2-1-1 Strategic Risks

Strategic Risks are entailed in the decision to provide instant banking transactions, the type of services provided and selection of the appropriate time to provide them. This specifically means the extent of the economic feasibility of providing these services or their continuity and whether the percentage of return on investment will exceed the initial investments and the expenses of continuing to provide these services. In addition, poor implementation of instant banking transactions and ill-considered investment decisions can increase the strategic risks to which banks are exposed.

2-1-2 Operational Risk / Transaction risk

They are risks arising from fraud or errors in the execution of transactions, or other unexpected events that may lead to the bank and company›s inability to provide services or expose the bank or its customers to financial losses. While risks lie in all provided products and services, the level of risks related to instant transactions is affected by the structure of banking procedures and transactions, including the types of services provided and the degree of operations and assistive technologies' complexity.

2-1-3 Compliance Risk / Legal Risk

These risks arise as a result of the activation of payment services through the Instant Payment Network. Specific regulatory / legal challenges may include:

- **The Bank Issuing Electronic Payment Tools**
  - The methods adopted by the bank to verify the identity of customers holding electronic payment tools issued by the bank.
  - The process of validation of financial transactions.
  - Maintain records and account statements.
  - Compliance with applicable laws related to account confidentiality, customer rights and personal data protection, as well as the legal responsibility of banks towards customers as a result of the potential of any data privacy breaches, hacking, fraud and technological failures.
- **PSP Bank:**
  - Activate the bank's payment channels (eChannel's) to be used by the bank's customers to carry out financial transactions through the Instant Payment Network.
  - Enter into contracts with Payment Service Providers (PSPs) to use the Instant Payment Network.
  - Legal responsibility of banks towards payment service providers to ensure security and confidentiality of data and protect such data, or any other technological failures.
  - Compliance risks arising from the evolving nature of technology and regulatory adjustments intended to deal with issues limited to the provision of this type of service.
- **Acquirer Bank:**
  - Conclude contracts with companies and merchants.
  - Legal and regulatory obligations arising from dealings with companies and merchants.

2-1-4 Reputational Risk:

The level of reputational risk is increasing as a result of the development of systems and rising number of users. The following are some of the risks that may affect the reputation of the bank:

- Lack of trust due to unauthorized transactions on customer accounts.
- Failure to provide reliable services as a result of frequent or prolonged downtime.
- Customer complaints about the difficulty of using the services or inability of customer service staff to solve these issues.
- Use of instant transfer services via banks in money laundering or terrorist financing.

2-1-5 Information Security and Cyber Security Risks:

This type of risk arises from the possibility of an illegal entity exploiting the weaknesses in the Bank›s systems, which results in implications related to the level of data integrity, availability and confidentiality.

2-2 Responsibilities and Obligations of the Board of Directors and Senior Management

2-2-1 The bank's board of directors shall be responsible for supervising the preparation of the special business strategy, as well as making a clear strategic decision regarding the services that the bank will provide. In particular, the board of directors must ensure the following:

2-2-1-1 The plans for development of various instant payment services are aligned with the strategic objectives of the Bank.

2-2-1-2 Determine the extent of the bank's risk appetite in relation to instant banking services, while ensuring that the risk management processes related to these services are included in the bank's general risk management methodology. Existing risk management policies and processes must also be reviewed to ensure their adequacy to cover the new risks that may result from instant payment services.

2-2-1-3 Establish frameworks for effective control of the risks associated with the provision of these services, including defining responsibilities, policies and controls necessary to manage these risks.

2-2-1-4 Develop a clear policy to reduce the risks associated with transactions arising from Instant Payment Network, provided that this policy be evaluated annually, and that this policy includes the following points, in particular:

- Validation of transactions.
- Settlements
- Disputes
- Refunds
- Fraud
- Bankruptcy for merchants and companies subscribing to the service
- Service level and efficiency

2-2-2 The senior management must ensure that the risks associated with instant payments are analyzed upon provision by the bank and reduced using appropriate tools, in accordance with the following:

2-2-2-1 Analyze the risks of executing intraday transactions before launching the same.

2-2-2-2 Develop appropriate procedures to monitor and reduce the risks identified.

2-2-2-3 Continuously conduct a review to evaluate the results of services provided through Instant Payment Network according to the developed plans and objectives.

2-2-2-4 Oversee the continuous development and maintenance of the security control infrastructure that provides adequate protection of data and systems of transactions executed through the Instant Payment Network from any internal or external threats. In order to ensure the effectiveness of the financial transaction process, senior management must ensure that the following actions are taken:

2-2-2-4-1 Define clear responsibilities for supervising the development and management of the bank's security policies.

2-2-2-4-2 Provide the necessary protection to prevent unauthorized persons from entering the computer system, which includes all vital systems, network servers, databases, applications, communications, and security systems for the Instant Payment Network.

2-2-2-4-3 Provide the necessary electronic controls that would prevent any unauthorized insider or third parties from accessing the applications and databases of Instant Payment Network services and lay the foundations for determining the right of access to the data, which requires the bank to classify the data and determine the who is authorized to access the same.

2-2-2-5 Ensure that the bank does not provide new services in cooperation with payment service providers or adopt new technological means unless the bank has the necessary expertise that enables efficient risk management.

2-2-2-6 Ensure that the Audit Committee and senior management provide independent and objective assessment to the Board of Directors, via the Internal Audit and Compliance Departments of an on the effectiveness of applicable internal controls to reduce the risks resulting from providing instant payments, including technology risks, money laundering risks and terrorist financing.

2-2-2-7 Review and approve key aspects of the Bank's security oversight process, including periodic review of security procedures and system testing processes – e.g., periodic penetration testing as described in clause (7-3), including continuous follow-up on developments in security systems in this field, downloading and preparing updates for programs and appropriate service packs and necessary measures, after conducting the required tests.

2-2-2-8 Develop a high level and continuous mechanism to conduct due diligence research and monitor the outsourcing and the contractor's relationships with other third parties relied upon to provide these services, with the top management focusing in particular on the following points:

2-2-2-8-1 Full awareness of the risks involved in concluding any arrangements for outsourcing, partnership, or agency in relation to the systems of the Instant Payment Network in addition to providing the necessary resources to supervise these arrangements and obtaining the approval of the Central Bank of Egypt before initiating the outsourcing of external services.

2-2-2-8-2 Conducting necessary due diligence research regarding the efficiency, infrastructure of the system and the financial capacity of the partner or the third party prior to concluding any agreements related to outsourcing, partnership or agency.

2-2-2-8-3 Clearly define the contractual responsibilities of all parties to the agreements of attribution, partnership or agency, e.g. the responsibility for providing information to and receiving information from the Payment Service Provider are clearly defined and the need for the bank to define regulatory standards while ensuring compliance with all applicable rules and laws in this regard.

2-2-2-8-4 Outsourcing or agency contracts include an agreement for non-disclosure of confidential information to third parties and a service level agreement which includes but is not limited to: Determining the roles and responsibilities and the time required to implement the service, procedures and statements of escalation and penalties in the event of non-compliance in addition to the items that preserve the bank's right to audit the contractor or rely on approved audit reports (issued by accredited auditors).

2-2-2-8-5 All systems and processes of Instant Payment Network services that take place through the outsourcing or agency process are subject to the risk management system and privacy and information security policies that are aligned with the standards of the Bank.

2-2-2-8-6 Conduct internal and/or external audits periodically on the transactions conducted by outsourcing or agency, and the scope of the audit work should not be less than that applied at the internal level of the bank.

2-2-2-8-7 Provide all audit and evaluation reports to the

inspectors of the control and supervision sector at the Central Bank of Egypt.

2-2-2-8-8 Develop relevant contingency plans for Instant Payment Network services that are carried out through outsourcing or agency, and ensure that they are tested periodically.

2-2-2-8-9 The contract termination procedures shall be effective and ensure the maintenance of business continuity and data integrity as well as its transfer and disposal.

2-2-2-8-10 Although the Bank has outsourced some services to third parties, the Bank remains fully responsible towards users of the system and towards the compliance by third parties with these rules, and shall ensure the following:

- Maintaining an updated record that includes all outsourcing agreements and contracts.
- Setting limits for assigning more than one job to one payment service provider to reduce the risks of concentration and operation.

2-2-2-8-11 The senior management must ensure that the information security policy applied in the bank - which is approved by the Board of Directors and is updated periodically, and that it takes into account the services provided through the Instant Payment Network. This contributes to defining the necessary policies, procedures, and controls to protect banking transactions from security breaches. It also defines individual responsibilities, as well as the adoption of mechanisms and procedures that must be taken in the event of a violation of these policies and procedures.

2-2-2-8-12 The senior management shall be responsible for promoting and spreading the security culture at all levels of the bank by emphasizing their commitment to high standards of information security, and spreading this culture to all bank employees.

2-2-2-8-13 The insurance methodology must be based on the analysis of specific risks and threats, taking into consideration the inherent risks and the compensating controls in order to reach a level of residual risk that falls within the acceptable risk levels.

2-3 Anti-Money Laundering and Terrorist Financing Controls

2-3-1 Banks participating in the Instant Payment Network must comply with the following:

- Comply with the Anti-Money Laundering Law promulgated by Law No. 80 of 2002, and its amendments, its executive regulation, the supervisory controls of banks regarding combating money laundering and terrorist financing issued by the Central Bank of Egypt, and the applicable customer due diligence procedures issued by the Anti-Money Laundering and Terrorist Financing Unit.
- Follow the instructions issued to banks regarding the implementation of the mechanisms for executing targeted financial sanctions, as well as the instructions of those concerned with execution regarding the lists of terrorist entities and terrorists with regards to accessing the updated lists (published on the website of the Anti-Money Laundering and Terrorist Financing Unit www.mlcu.org.eg under the Negative Lists.)
- Pay sufficient attention to the guiding indicators consistent with the nature of the service and mentioned in the clause seventh (Guiding Indicators for Identifying Suspicious Operations involving money laundering or terrorist financing) of the supervisory controls of banks in relation to combating money laundering and terrorist financing issued by the Central Bank of Egypt.
- In the event of any suspicious transactions that take place through the Instant Payment Network and that involve money laundering, the proceeds of a predicate crime or terrorist financing, the Anti-Money Laundering and Terrorist Financing Unit in accordance with the provisions of the Anti-Money Laundering Law promulgated by Law No. 80 of 2002 as amended shall be notified immediately.
- Implement effective procedures that include the use of automated systems to detect the extent to which the customer and the real beneficiary are included (according to the definition contained in the due diligence procedures for bank customers issued by the unit, as amended) on the negative lists before proceeding, including the bank sending the transfer to detect the extent to which the

transfer requester is included in the negative lists before implementing the transfer and the disclosure by the bank of the recipient of the transfer to the extent that the beneficiary is included in the negative lists before providing cash to him or adding to his account.

- Follow up on the unit's website on a daily basis to learn about updates on the negative lists, whether by deletion, addition or modification.
- Maintain records and documents of customers and operations in accordance with the Anti-Money Laundering Law promulgated by Law No. 80 of 2002, and its amendments, its executive regulations and amendments, the supervisory controls of banks regarding combating money laundering and terrorist financing issued by the Central Bank of Egypt.

3- General rules regulating banks participating in the Instant Payment Network

A bank wishing to obtain a license to participate in the Instant Payment Network must apply for the necessary approvals from the Central Bank of Egypt and take into account the following:

- Comply with the rules issued by the Central Bank of Egypt, as amended.
- Adhere to the rules issued by the Instant Payment Network, as updated.
- Commitment to the technical specifications of the technical connection and the rules of operation of the Instant Payment Network, as updated.

3-1 Issuer Bank Obligations towards Electronic Payment Tools

3-1-1 The issuer bank shall be responsible for documenting and validating the data of its customers' electronic payment tools to participate in the Instant Payment Network through any of the Payment Service Providers' (PSPs) applications in accordance with the controls and procedures approved by the Central Bank of Egypt.

3-1-2 The issuer bank's failure to provide any data related to clients' accounts before the success of the electronic validation process for its clients.

3-1-3 The issuer bank is the main entity responsible for approving any transactions of its clients dealing on the Instant Payment Network, whether through the applications of payment service providers or through the bank's electronic channels.

3-1-4 In light of its assessment of the risks associated with the service, the bank shall set appropriate limits for the values and number of monthly operations in accordance with the vision of the bank's risk management without exceeding the following limits if the customer uses the applications of approved service providers:

- **Maximum limit** of a transaction value: **50,000** (Fifty thousand) Egyptian Pounds).
- The **daily maximum value** of transactions: **60,000** (sixty thousand) Egyptian pounds.
- **Maximum monthly limit** of transaction value: **200,000** (Two hundred thousand) Egyptian Pounds.

The Governor of the Central Bank of Egypt may amend these maximum limits.

3-1-5 The bank can increase these limits if the bank uses additional means of authentication through the bank's electronic channels, based on the bank's license as a bank providing payment services through the bank's electronic channels (Pre-authorized PSP Bank).

3-1-6 Allow customers to use their bank accounts through the applications of approved payment service providers, which includes making the following types of bank accounts available as a minimum to deal using the Instant Payment Network (current account - savings account.)

3-1-7 Provide full technical support tools for customers in proportion to the level of performance of banking services.

3-1-8 It is necessary to clearly notify clients of transaction fees before executing any transaction.

3-1-9 It is necessary to clearly notify customers of the transactions made on their electronic payment tools through text messages or any other approved method.

3-1-10 The fees for transactions carried out through the applications of Payment Service Providers (PSPs) are subject to Instant Payment Network Rules.

3-2 Obligations of PSP Bank towards Instant Payment Network

3-2-1 A bank providing payment services may obtain the following licenses:

- Pre-authorized payment service provider through the bank's electronic channels.
- Payment Service Provider through Payment Service Provider Applications.
- In the event that the bank obtains a license to provide payment services through the bank's electronic channels (Pre-authorized PSP Bank), the bank shall provide the services of the Instant Payment Network through the various electronic channels of the bank only, along with the commitment to the following limitations:
  - The bank can activate electronic channels such as Internet banking and mobile banking application.
  - The bank sets the maximum limits for the number and values of daily and monthly transactions according to the bank›s risk assessment.
  - The activation of this service is limited to the bank›s electronic channels of the bank only and to the accounts issued by the bank only.

3-2-2 If the bank obtains a payment service provider license (Full Fledge PSP Bank), the bank can contract with payment service providers after obtaining all necessary approvals from the Central Bank of Egypt and taking into account the following:

- **The Full Fledge PSP Bank is allowed to launch a maximum of 5 applications with the accredited service provider.**

  The Governor of the Central Bank of Egypt may amend the number of payment service providers that the Payment Service provider is allowed to contract with.
- The bank providing payment services is allowed to contract with payment service providers to provide electronic channels to customers of the Instant Payment Network through a mobile application of the payment service provider used by customers to carry out various financial operations through their accounts with the issuer banks.
- The Payment Service Provider (PSP) is allowed to contract **with only one bank** as the Payment Service Provider Bank (PSP Bank).
- The Payment Service Provider Bank shall be responsible for the following:
  - Contracting with service providers and making their services available to customers, after obtaining the approval of the Central Bank of Egypt.
  - Payment service providers (PSPs) must agree and abide by all instructions and rules issued by the Central Bank of Egypt and the Instant Payment Network.
  - Direct connection with the Instant Payment Network and activating the application of the secure interface (Secure library "SL") of the Instant Payment Network on all applications of payment service providers.

- The (1st factor of authentication) through the process of linking with the client›s mobile phone (Hard Binding) in cooperation with the payment service provider (PSP) in accordance with the rules of the Instant Payment Network.
- All confidential data is processed through the secure interface application (Secure library "SL"), which includes but not limited to authentication and identity confirmation data, customer account password (IPN PIN), One Time password, view the customer›s balance as well as his brief account statement.
- **The Payment Service Provider (PSP) is prohibited from recording, requesting or displaying any of the previously referred to confidential data and referred to in the rules of the Instant Payment Network outside the Secure library "SL" application.**
- Ensure that all transactions and information processed by payment service providers (the licensees are carried out on secured systems located inside the Arab Republic of Egypt) and that these transactions are processed outside the Arab Republic of Egypt only after obtaining the approval of the Central Bank of Egypt.
- Complete periodic inspections of the headquarters and systems of payment service providers to ensure that the work rules being followed are aligned with the rules issued by the Central Bank of Egypt, the Instant Payment Network, and the contracting terms of the bank.
- In light of its assessment of the risks associated with the service, the bank shall put in place the necessary mechanisms and means to ensure the efficient operation of the system in accordance with the highest standards.

3-3 Obligations of the Acquirer Bank through Instant Payment Network

3-3-1 The bank accepting Instant Payment Network transactions shall accept all transactions in accordance with the standard technical specifications set by the Instant Payment Network.

3-3-2 The Acquirer bank shall accept all transactions by any electronic application / channel approved by the Central Bank of Egypt and the Instant Payment Network.

3-3-3 Adopt electronic acquiring method by the Central Bank of Egypt and the Instant Payment Network.

3-3-4 Possibility of the acquiring bank's contracting with merchants/companies directly or through the assistance of Payment Facilitator after obtaining the necessary approvals from the Central Bank of Egypt.

3-4 Services available from Instant Payment Network

Banks can provide the following services to customers through Instant Payment Network:

3-4-1 Financial Transactions.
- Money Transfer.
- Purchasing Transactions.

3-4-2 Non-financial Transactions.
- Balance Inquiry.
- Brief Account Statement.
- Set a Password (IPN PIN) for each registered bank account

3-4-3 Customer registration through payment service provider applications, including the following:
- Instant Payment Address
- Mobile Number Mapped to IPA.
- Activate accounts on the Instant Payment Network and set the account password.


24/7

4- General Controls

4-1 All parties of the Instant Payment Network system must conduct all financial and non-financial transactions instantly, 24 hours a day, throughout the year, in accordance with the rules of the Instant Payment Network.

4-2 The bank has the right to use a technology service provider (TSP) that is approved by the Central Bank of Egypt and the Instant Payment Network to perform some technological tasks on behalf of the bank, such as providing and managing the bank's electronic systems dealing with the Instant Payment Network, provided that there be a direct contract between the bank and the technology service provider.

4-3 Compliance with the instructions for protecting customer rights issued by the Central Bank of Egypt in February 2019, and all its amendments, and all parties to the system are committed to the following points, for example, without limitation:

4-3-1 Notify clients of transaction fees before they are executed.

4-3-2 Refrain from using customer data in violation of the terms and conditions that customers have agreed to.

4-3-3 Notify clients instantly of the outcome of the executed transaction (accepted or rejected).

4-3-4 Instantly add or debit money to and from customer accounts.

4-3-5 Provide appropriate service and technical support means for customers.

4-3-6 Provide mechanisms for clients to carry out objection operations.

4-4 Regarding the mobile phone applications of service providers, the bank providing payment services shall ensure the following:

4-4-1 Customer's approval of the terms and conditions of the service, after verification by the issuer bank of the electronic payment tools in accordance with the conditions referred to in the clause on managing the means of authentication, which in turn is considered an approval by the customer to carry out the transactions through the application of the service provider.

4-4-2 It is preferable that the application language be unified with the language of the operating system of the mobile device, with the freedom of choice for the customer to change the Arabic/English languages.

4-5 Regarding the addresses of the beneficiaries (Payment Addresses), the following shall be adhered to:

- Exchange of financial transactions is permitted through one of the following beneficiary addresses:
  - Account number and bank code
  - IBAN
  - A mobile phone wallet number accepted through the national adapter for payment services using
  - A mobile phone
  - Electronic payment card number
  - Indicative codes for the Instant Payment Network, which include the following:

- Instant Payment Address (IPA)
- Mobile Number.
- Merchant ID

4-6 With respect to the instant payment address, the following criteria shall be complied with:

4-6-1 The ability to assign an Instant Payment Address for each bank account added through the payment service provider applications.

4-6-2 The instant payment address shall be a unique address at the network, originally belonging to the customer and is saved by the payment service providers.

4-6-3 The indicative token of a payment service provider shall be set by the Instant Payment Network.

4-7 Concerning the management of the means of authentication:

4-7-1 All financial transactions executed through the Instant Payment Network shall be subject to two factors of authentication.

4-8 With respect to Transactions executed through Payment Service Provider Applications (PSPs):

4-8-1 Ensure payment service provider complies with all necessary procedures to maintain the proper implementation of the 1st factor of authentication and the completion of the linking process with the client's mobile phone (Hard Binding), which links the mobile device fingerprint (MDF) and the mobile phone number (based on the activation process) in the service provider's systems according to the rules of the Instant Payment Network.

4-8-2 Compliance by the issuer bank with ensuring the password of each bank account within the Instant Payment Network (IPN PIN) is the 2nd factor of authentication and the responsibility of the bank issuing the electronic payment tool, which manages the bank account alone, provided that the customer assigns a password (IPN PIN) for each account that he registers through the payment applications provided through payment service providers.

4-8-3 Compliance by the issuer bank with creating the password when adding the account for the first time on any of the payment applications, through the use of the IPN Secure Library.

4-8-4 Compliance by the issuer bank with saving the password of the customer's account in an encrypted form. In all cases, the parties to the system, including the Instant Payment Network, are prohibited from recording or saving the customer's password (or any other confidential data), and the responsibility for keeping and protecting the password is a joint responsibility between the issuer bank for the account and its client.

4-8-5 Regarding the transactions executed through the bank's electronic channels (eChannel's), the transactions conducted through the bank's electronic channels (pre-authorized transaction through eChannel's) are subject to the same authentication standards for these channels in accordance with their respective approvals issued by the Central Bank of Egypt.

4-9 Regarding password management through the Instant Payment Network (IPN PIN), the bank shall ensure the following:

4-9-1 The password consists of 6 digits and does not contain special characters or symbols

4-9-2 Easy numbers should not be allowed as a password, for Example: 111111 or 123456.

4-9-3 The password must be changed using a strong encryption mechanism that does not have any known gaps or weaknesses, and the length of the encryption key must be appropriate.

4-9-4 The password is not processed, sent or stored as a clear text, and that the password does not appear legible on any part of the Instant Payment Network.

4-9-5 Compliance by the bank issuing the electronic payment tool to warn customers that the password (IPN PIN) is the basis for securing their accounts, and that it should not be exchanged with any other party.

4-9-6 Temporarily suspend transactions via the payment tool through the Instant Payment Network suspended when the password is wrongly entered repeatedly, and provide a clear mechanism for reactivation.

4-10 Regarding the use of technology service providers (Technology Service Provider - TSP), the Bank shall abide by the following procedures:

4-10-1 Clearly define the contractual responsibilities of the bank and the service provider in the contract, including without limitation, the responsibilities of system management and operation are clearly defined, as well as the responsibilities assigned to each party.

4-10-2 Clauses related to the bank's management of customers' data and the service provider's compliance with maintaining the confidentiality of such data without disclosure or use except within the limits of the contract with the bank or for valid legal reasons.

4-10-3 Establish provisions relating to the right of the bank and the Central Bank to monitor and inspect the performance of the service provider and the periodicity of the same.

4-10-4 The contract termination procedures shall be effective and ensure the maintenance of business continuity and data integrity, as well as its transfer and disposal.

4-10-5 The service provider may not be authorized to sub-contract with other companies (third parties) to carry out the works entrusted to it by the bank under this contract without a written consent from the bank with a list of works assigned by the service provider to other parties.

4-10-6 Compliance by the service providers under the contracts concluded with them to notify the Bank of any events that may have a significant impact on their ability to carry out the tasks assigned to them in the required effectiveness.

4-10-7 Necessary compliance with the service provider's obligation to notify the bank in the event of any cases that may be suspected of being illegal, whether actual or suspected, or interruption / instability of the service on the systems.

5- Responsibilities of the Egyptian Banks Company

5-1 The Egyptian Banks Company shall be responsible for issuing the rules of the Instant Payment Network, as updated, after obtaining the approval of the Central Bank of Egypt.

5-2 The Egyptian Banks Company shall set the regulations, guidelines, roles, responsibilities and obligations of the participants in relation to Instant Payment Network, and this also includes the processing and settlement of transactions, and the management of disputes.

5-3 The Egyptian Banks Company shall manage the IPN

5-4 Determine the exchange commissions for the parties to the system.

5-5 Determine the rules and regulatory frameworks for creating the instant payment address and update them periodically to ensure that there is a list of addresses that are prohibited to be used on the system.

5-6 The Egyptian Banks Company settles all Instant Payment Network transactions through the instant Gross Settlement system of the Central Bank on the accounts of the network member banks.

5-7 The Egyptian Banks Company abides by all the rules issued by the Central Bank of Egypt.

6- Settlements

6-1 The settlement process shall be carried out in the Egyptian Pound within the Central Bank of Egypt through the Instant Settlement System.

6-2 In light of its assessment of settlement risks, the bank must ensure that there is sufficient balance to settle all transactions.

7- Supervisory controls of Instant Payment Network Services

7-1 Information Confidentiality and Integrity

7-1-1 Providing instant transfer services through electronic payment applications to payment service providers includes the circulation of confidential data through mobile phone applications and the bank's internal network. Therefore, banks and payment service providers for the Instant Payment Network must use appropriate methods to maintain the confidentiality and integrity of information circulated through the bank's internal and external network, in accordance with the requirements of the Instant Payment Network.

7-1-2 Banks must choose the encryption technology that is commensurate with the sensitivity and importance of the information as well as the degree of protection required. In this context, it is always recommended that banks adopt encryption technology that uses internationally recognized encryption methods, as the strengths of these methods are subject to high level tests. Banks shall apply good practices for managing the cryptographic keys needed to protect these keys in accordance with the requirements of the Instant Payment Network.

7-1-3 The bank shall secure the process of exchanging any data or files between the bank and its payment service partners, provided that the data or files are encrypted. Exchange shall be through the following channels:

- Leased line
- Virtual Private Network

7-1-4 In the event that payment service providers use infrastructure outside its premises by infrastructure providers, the bank must obtain approval from the Central Bank of Egypt before contracting with a payment service provider.

7-1-5 The bank and its systems should not be connected to the global network (the Internet) or any of the unauthorized networks without obtaining the approval of the Central Bank of Egypt.

7-1-6 Banks must also implement controls other than encryption methods, in order to maintain the confidentiality and integrity of information circulated through the system. This includes the following without limitation:

- The controls and audits necessary to ensure the integrity of the settlement of customer balances after the execution of transactions, in addition to ensuring the integrity of the data transferred between different systems.
- Monitor unusual transactions including suspicious transactions or records suspected of being tampered with.
- Banks must ensure that the process is encrypted from the payment channel used to perform the transaction to the servers executing the payment order.

7-1-7 The bank should implement a policy of segregation of duties, in order to ensure that no employee within the bank can do and hide any unauthorized act, including but not limited to, managing the user account, executing transactions and keeping and managing system cipher keys, system administration and system operations.

7-1-8 The storage of data on the internal memory of the mobile phone must be limited, and in the event that any data is saved on the mobile phone - for the utmost necessity, appropriate means must be used to protect the same.

7-1-9 The mobile application must implement adequate detection mechanisms to ensure that the mobile phone is not exposed to risks, such as Jailbroken/Rooted, e.g.: a hacker downloads a program on the mobile device that enables him to access the confidential files of the user.

7-1-10 Mobile phone applications must be protected against any automatic screenshots that can be taken by spyware running on the same mobile device if there is a technical possibility to apply the same.

7-1-11 The bank's systems, as well as the applications of payment service providers, must be subject to multiple tests before operation to ensure their ability to carry out the tasks assigned to them.

7-1-12 All applications must use and enable 2-factor authentication.

7-2 Infrastructure and Security Monitoring of the System

7-2-1 Banks must create an appropriate operating ecosystem that supports and protects their own systems associated with Instant Payment Network applications, so that this ecosystem contains a secure infrastructure for those services - which includes but not limited to setting up network servers intrusion detection and prevention systems, firewall devices, routers, etc.

It also contains appropriate protection measures for internal networks and network links with third parties, including the Egyptian Banks Company as the company responsible for the Instant Payment Network.

7-2-2 The full responsibility for providing services falls on the participating banks, which must exercise due diligence to ensure the security of all transactions and proactively monitor both network-connected systems and infrastructure on a permanent basis, 24 hours a day, 7days a week in order to monitor and record any security violations, any breaches, or suspected vulnerabilities, as well as any suspicious unusual activities that take place on the systems.

7-2-3 Banks must ensure that audit trails are in place for all banking transactions that take place through Instant Payment Network systems/applications and must ensure that these trails are protected against any manipulation or unauthorized change, and that they are kept for a period of time as per the bank's policies to fulfill legal requirements, and in accordance with the regulatory controls and instructions issued in this regard. This procedure is aimed at facilitating the investigation procedures for any fraud, resolving any dispute or complaint if necessary and when determining what will be kept in the audit trails, the following types of activities may be considered as a minimum:

- Operations of opening, modifying or closing a user account on the various systems of the service.
- Any transaction with financial implications
- Any permission granted to a user to exceed any of the limits or powers.
- Any modification, addition or cancellation of the users' privileges or access privileges to the systems

7-2-4 All issued Audit Logs and Instant Security Alerts - such as intrusion detection and prevention systems alarms - must be reviewed by the relevant employees or work teams in a periodic and timely manner.

7-2-5 Implement prudent standards and procedures for access to the premises of a physical security system, including the software and hardware running the system, and the networks, ciphers, and information centers that run part or parts of the system.

7-3 Evaluation of Service Security System

7-3-1 Banks must periodically assess the security status of all systems - applications, networks, security devices, DNS servers, e-mail servers, etc. - related to the operation of the system in the main information center and the backup center used in case of disasters.

7-3-2 Banks must conduct a periodic Vulnerability Assessment at least every three months or when there is a fundamental change in the operational ecosystem of the various systems of the service to detect and assess vulnerabilities in the IT system. This evaluation may be carried out by a consultant or an external service provider to the bank and the service provider may be different from the service provider that conducts penetration tests, or this evaluation may be undertaken by the information security department of the bank, as follows:

- The scope of vulnerability assessment must include testing of common network vulnerabilities (eg: vulnerabilities that enable a hacker to perform SQL Injection, authentication bypass, insecure storage, etc.).
- The bank must develop a plan to address the problems that appear in the vulnerability assessment, and then validate this treatment by re-testing to demonstrate that the problems have been fully addressed.

7-3-3 The bank must ensure refrainment from launching the new services before the completion of providing the Central Bank of Egypt with the Penetration Test Report on the Production environment. The report shall state that there are no high or medium-risk weaknesses. The bank shall obtain the approval of the Central Bank of Egypt to activate the service, provided that the report referred to be submitted to the Central Bank of Egypt within a period not exceeding three months after the date of its issuance.

7-3-4 The bank shall carry out penetration testing in order to conduct a detailed and in-depth assessment of the security situation of the system by simulating actual attacks on the system, provided that this be done at least once a year, or when a change in the system occurs, provided that the following is taken into account:

- Penetration testing must be performed by an independent third-party service provider, who must first sign a Non-Disclosure Agreement before operating.
- Banks should have an initial penetration test report and remediation plan, issued and signed by the external service provider.
- Banks must validate the processing of the notes resulting from penetration testing, whether it is on the main systems or alternative systems used for disaster response, taking into account that the penetration test be conducted on the systems in the emergency center.

- The external service provider must issue a signed final penetration test report for the bank to submit to the Central Bank of Egypt, along with the first initial report.
- It is not permitted to select the same external service provider to perform more than two consecutive penetration tests.

7-4 Response to and Management of Events

7-4-1 Banks shall establish procedures for event response and management during service provision, with the aim of reporting and promptly addressing any security breaches, whether actual or suspected, as well as any cases of fraud or interruption/instability of the service, whether during or after working hours. Banks must take the following necessary measures (for example, but not limited to):

- Quickly discover the source of the event, and determine whether or not it occurred as a result of weaknesses in the bank's security systems.
- Assess the potential scope and impact of the event.
- Immediately escalate the matter to the senior management of the bank, if this event may harm the bank's reputation or lead to financial losses.
- Notify affected customers immediately, if necessary.
- Contain losses related to banks' assets, data and reputation, particularly those related to their customers.
- Collecting and preserving digital forensic evidence in an appropriate manner and in a manner that ensures oversight of such evidence and ensures that it is not tampered with to alter its content in order to facilitate subsequent investigations and the prosecution of system infringers and suspects if necessary, in addition to the implementation of a review process of this event.

7-4-2 A rapid intervention team must be formed to manage and deal with any incident in accordance with the procedures described above, provided that this team be given the necessary powers to act in the event of an emergency, and must receive adequate training in the use of insurance devices, and the ability to interpret the importance of the relevant data in the audit records, determine the appropriate actions to be taken - such as blocking certain network traffic, or closing certain services.

7-4-3 Banks must prepare a record of incidental events related to the service provided and their details, in addition to preparing a periodic report to be presented to the senior management to take appropriate measures to avoid their recurrence.

7-4-4 The bank’s compliance officer shall be responsible for ensuring that the Central Bank of Egypt is properly informed within 6 hours of discovering the incident of all the cases listed below:

- Any fraud attacks to leak or disclose the system user's identity or personal credentials (such as phishing, spyware (Trojans), Malware, etc.).
- Unauthorized access to the bank's IT systems to leak system user data related to the services provided.
- Any sabotage of data related to the provided services systems that cannot be retrieved.
- Intentional or accidental complete cessation of services provided for a period exceeding the period specified as an objective of the RTO specified by the Bank.
- Any case of internal fraud related to those provided services, all reports shall be sent by e-mail to the following addresses:
  cbe.infosec@cbe.org.eg
  eg-fincirt@cbe.org.eg

7-5 Performance Considerations and Business Continuity Assurance

7-5-1 Banks must provide the services around the clock, while ensuring the performance of the service to customers at the appropriate speed, in accordance with the terms and conditions of the service, taking into account customer expectations.

7-5-2 Banks must set standards for evaluating and following up on the level of performance of the services provided, and the necessary measures must be taken to ensure the ability of the systems of those services and the internal systems for service provision to deal with the expected volume of operations and the future growth of this type of services.

7-5-3 Banks must take into consideration planning to ensure business continuity when developing the services provided, provided that the following practices be also taken into account:

- In the event of a service failure, the business continuity plan must contain specific steps for how to resume or restore those services. These steps shall be determined based on the goals of the predetermined RTO & RPO along with periodic review and update of any developments or risks.
- Having data backups for data recovery and having alternative contingency action plans.
- The business continuity plan for the services provided must have the capacity to handle any instances of outsourcing.

8- Customer Security and Controls for certain other Risks

8-1 Banks must accurately specify all terms and conditions set forth between them and their customers through the applications of payment service providers or through any electronic payment channel connected to the Instant Payment Network and in a manner that does not conflict with the directives for protecting the rights of customers of the issuer banks in February 2019, as amended, taking into account the following:

8-1-1 Defining all the terms and conditions for subscribing to the Instant Payment Network and executing transactions through the mobile application, and that the service is not subscribed to until after the electronic agreement to these terms and conditions.

8-1-2 Drafting the terms and conditions in a clear and specific way so that it is easy to understand by any customer, while avoiding the use of words and phrases that have more than one meaning.

8-1-3 Clarify the obligations of both the payment service provider and the system user in the event of a breach of any of the contract terms.

8-1-4 The Terms and Conditions contain clear specific clauses which must include the following as a minimum:

- Authorizing the payment service provider to send transactions to the Instant Payment Network to provide the services agreed upon and the right of the customer to stop the service.
- Clarify the level of privacy of customer data and the extent to which it is available to others in accordance with the supervisory instructions issued by the Central Bank of Egypt or the laws regulating the same.
- Clarify in detail the steps that the system user must follow to activate the service in case of subscription for the first time or in the event of stopping or restarting the service, indicating the time required to stop the service from the moment the system user requested it and the different ways to request stopping the service.
- Provide the ability to stop using the service when it is misused by the system user.

8-1-5 The bank issuing the electronic payment tool, as well as the payment service provider, shall create a mechanism to study complaints. The terms and conditions of service provision expressly stipulate the method of submitting a complaint to the bank or payment service provider, and the maximum time taken to investigate the complaint from by the different parties.

8-1-6 In the event of disputes over financial transactions or complaints by system users, dispute settlement processes are subject to established and announced rules for the system user, and dispute settlement is in accordance with the rules of the Instant Payment Network, noting that the system records serve as a conclusive argument provided that there is no defect in the system and on the condition that there are complete records of the disputed transactions.

8-1-7 Confirmation of the commitment of the system user to reading the warnings and alerts (such as security alerts to attempts of fraud/ social engineering) and confirmation of the acceptance by the system user of any change in the conditions and provisions that will appear through the system electronically and electronic approval of the same in order to continue obtaining the service.

8-1-8 Clearly emphasize that the relevant Egyptian laws, their executive regulations, instructions and supervisory rules govern the services that the Bank and Payment Service Providers (PSPs) provide to customers through the Instant Payment Network, and disputes are settled within the Arab Republic of Egypt.

8-1-9 Clarify the user's responsibilities in protecting his password/ PIN and inform the bank in the event of losing the password, or in case the customer suspects that his confidential data that may lead to a breach of the integrity of his accounts has been accessed by third parties.

8-2 Monitor unusual activities

8-2-1 Banks should put in place effective continuous monitoring measures to ensure that any unusual transactions occurring through the system and suspected of leading to fraud are quickly detected. Such measures shall particularly be able to detect situations such as:

- Multiple transfers of funds using mobile applications to another beneficiary's account within a short period of time, especially if the transferred amounts are close to the maximum allowed, as well as the sudden increase in funds transferred to the accounts of beneficiaries.

8-2-2 The monitoring mechanism should have the ability to quickly issue warnings to specialists to follow up on and monitor the services provided in the event of any transfer of funds suspected of fraud, as well as any unusual activities. In these cases, banks must verify this with the holders of these accounts on which these transactions or activities take place as soon as possible and notify the competent authorities.

8-2-3 Customers are referred to as soon as any unusual transaction is detected to verify that they have committed it.

8-2-4 The bank must implement specific and approved procedures for dealing with suspicious transactions.

8-3 Educate system users

8-3-1 Since the devices that customers use to access the mobile applications of payment service providers, as well as the electronic channels of the bank are outside the control of the bank, the possibility of security risks will increase if the system user does not know or if he misunderstands the security precautions necessary to use the service. Therefore, the bank must pay special attention to educating customers by providing easy-to-understand and clear advice regarding the security precautions to be taken when dealing with these services and their commitment to doing so.

8-3-2 Stress to customers and educate them that the bank’s employees, agents or payment service providers are not entitled to ask the system user to disclose confidential data (such as identification numbers or passwords) by e-mail or otherwise. In the event that this occurs, the system user must contact the bank as soon as possible.

8-3-3 Educate clients of those services about the ways in which they can verify the authenticity of the official application.

8-3-4 Advice on security precautions to be followed varies according to the nature of customers and the nature of the services provided. Advice include the following as a minimum:

- Choosing and protecting the customer's passwords (and also the username in case the customer is allowed to choose the same). For example, banks should advise customers to create a complex password, rather than choosing passwords that include information such as date of birth or phone number that could be easily identifiable.
- Protection against Social Engineering Techniques where customers must be educated about the need for non-disclosure of any personal information - such as their ID card, passport, address or bank account numbers - to anyone who has not verified their identity or use of questionable mobile applications. It should be underlined to customers not to disclose passwords to anyone, including bank employees or agents.
- Banks must review the advice and guidelines for security precautions that are provided to customers to ensure their adequacy and suitability to changes in the technological ecosystem and the services provided.
- The system user shall be notified of the means of action in the event that any other person discovers the password of the system user.

8-3-5 Since it is difficult for customer to provide long time to absorb long and complex instructions, banks can devise effective methods and channels to inform customers and make educate them about the insurance precautions that must be taken from them, and the bank can take advantage of many methods - such as bank websites, approved social media, printed and electronic messages for customer account statements, promotional leaflets, as well as when employees of the front office of a bank or service provider usually communicate with customers - to emphasize the need to adhere to some basic precautionary measures.



9- Procedures for Obtaining Licenses

9-1 Banks wishing to obtain licenses to operate as an Issuer Bank through the Instant Payment Network must apply for the approval of the Central Bank of Egypt, along with the fulfillment of the following:

9-1-1 Commitment to completing all tests and procedures for the Instant Payment Network, as per a work plan that does not exceed 6 months as of the date hereof.

9-1-2 Submission of a three-year work plan that includes the following:

- The number of accounts and cards of the target customers made available to the Instant Payment Network.
- The number and values of annual transactions to be executed.
- A high-level marketing plan to introduce the service and activate its use, provided that the approved budget is indicated in the plan.

9-2 Banks wishing to obtain licenses to operate as a PSP Bank through the Instant Payment Network must apply for the approval of the Central Bank of Egypt, and they should fulfill the following:

9-2-1 In the event of requesting a payment service provider license through the bank's electronic channels: (Pre-authorized PSP Bank)

- Commitment to complete all tests and procedures for the Instant Payment Network
- The electronic channels that will be made available to carry out transactions, for example, but not limited to (internet banking - mobile banking application).
- Submission of a three-year work plan that includes the following:
  - The number and values of annual transactions to be executed.
  - Submit a high-level marketing plan to introduce the service and activate its use, provided that the approved budget is indicated in the plan.

9-2-2 In the event that the bank provides its own mobile phone application to all customers of the Full Fledge Bank network:

- A statement explaining the name of the application and its target groups.
- The name of the company wishing to obtain a Payment Services Provider (PSP) license through the Instant Payment Network.
- A valid commercial register and a valid tax card for the company wishing to obtain the license.
- The bank shall subject the owners of the company and those in charge of its management to the due diligence procedures for bank customers and collect any information that it deems necessary regarding them.
- The bank's verification that none of the entity's owners and those in charge of its management have been subjected to penalties related to felonies or penalties for crimes against honor or trust.
- Include the availability of systems and procedures that require high levels of efficiency and integrity among employees and affiliated outlets in the terms of contracting with the entity, provided that these systems and procedures include, as a minimum, inquiries about previous work and obtaining a criminal record.
- Commitment to complete all tests and procedures for the Instant Payment Network
- A list of the types of services that the service provider will provide.
- Detailed work steps to be followed for each service separately. Submission of a three-year work plan for service activation that includes the following:
    - The number and values of annual and monthly transactions to be executed.
    - A high-level marketing plan to introduce the service and activate its use, provided that the approved budget is indicated in the plan.
    - Service prices model.

9-3 Banks wishing to obtain licenses to operate as an Acquirer Bank through the Instant Payment Network must apply for the approval of the Central Bank of Egypt by completing the following documents as a minimum:

9-3-1 A statement indicating whether the publication of acceptance to merchants will be done through the bank directly or through a payment service provider (PSP) contracted with the bank.

9-3-2 A statement indicating the target groups through the bank or payment service providers (PSPs).

9-3-3 Commitment to complete all tests and procedures for the Instant Payment Network.

9-3-4 A list of the types of services that the service provider will provide.

9-3-5 Detailed work steps to be followed for each service separately.

9-3-6 A statement showing the distribution channels that the bank or payment service provider (PSP) wishes to obtain a license for, including but not limited to (electronic acceptance through QR Code) - electronic acceptance through mobile phone applications for merchants - electronic acceptance through points of sale - electronic acceptance through online purchase.

9-3-7 Submission of a three-year work plan for service activation that includes the following:

- The bank's plan for the target number of merchants to contract with.
- The number and values of target purchase transactions to be accepted through all distribution channels on the Instant Payment Network.
- A high level marketing plan to introduce the service and activate its use, provided that the approved budget is indicated in the plan.

9-4 In the event that the bank contracts with a technology service provider, the bank must provide the same previously mentioned special data regarding contracting with payment service providers (PSPs).


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Money Received
Check your Balance



البنك المركزي المصري

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